

Module - 3

classmate

Date _____

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Statement of Profit & Loss a/c for the Year Ending.

Name of the Co-
P & L for the Year

Particulars.	Note No.	Amount
I. Incomes		
1. a) Revenue from operation. [Sales total - Sales Return] - [Excise duty]		xxx
2. b) other Income. Received [Int. comm. Rent, dividend, discount, Gain on foreign currency, liabilities written back]		xx
3. c) Total Revenue		xxx
II. Expenses.		
a. Cost of material consumed		xx
b. Purchases of stock in Trade (purchase - sample distr)		xx
c. changes in Inventories of finished goods / work in progress or stock in Trade.		xx
d. Employee Benefit Expenses		xx
e. Finance Costs.		xx
f. Depreciation & Amortisation exps		xx
g. Other expenses.		xx
Total Expenses		xxx
5. Profit Before Tax		xxx
6. Less : Tax		- xx
7. Profit after Tax.		xxx

CPCE FDO

Preparation of balance sheet of company as per schedule III. as per companies Act 2013.

Balance Sheet.

Name of the Co- _____

B/S as on: _____

	Particulars	Note No	Amount
I	1. Equity & Liabilities.		
	i) Shareholder's fund.		
	a) Share Capital		
	b) Reserve & Surplus		
	c) Money received against Share warrants.		
	ii) Share Application money pending Allotment.		
	iii) Non-Current Liabilities.		
	a) Long-term Borrowings.		
	b) Deferred Tax liabilities (Net)		
	c) Other long-term liabilities.		
	d) Long-term Provisions.		
	iv) Current Liabilities.		
	a) short-term Borrowings		
	b) Trade Payables		
	c) Other current liabilities.		
	d) short-term Provisions.		
	Total	Liabilities	Assets
II	Assets.		
	i) Non-Current Assets.		
	a) Fixed Assets.		
	* Tangible Assets.		

- * Intangible Assets.
- * Capital Work-in Progress.
- * Intangible Assets under development.

- b) Non-current Investments.
- c) Deferred Tax Assets (Net)
- d) Long-term loans & Advances
- e) Other Non-current Assets.

ii) Current Assets

- a) Current Investments
- b) Inventories
- c) Trade Receivables
- d) Cash & Cash Equivalents
- e) short-term loans & Advances
- f) Other Current Assets.

Total ~~liab~~ Assets. →

Problems :-

- From the following particulars prepare statement of P & L for the year ending march-2024 as per the revised schedule III.

Particulars	₹
Depreciation on plant & machinery	32,000
Purchase in [Adjusted]	8,00,000
Wages	2,40,000
Sales [Net]	20,00,000
Salary	1,60,000
Finance Cost	20,000

statements of P & L A/c for the year ended 31/3/2024

	Particular	Note. No.	Amount.
I.	Incomes.		
1.	Revenue from operations. (Sales)		20,00,000
2.	Other Incomes.		—
3.	Total Revenue. →		20,00,000
II.	4 Expenses.		
	a. Cost of material consumed.		—
	b. Purchase of stock in Trade.		8,00,000
	c. Change in Inventories.		—
	d. Employee Benefit Expenses.	1.	40,000
	e. Finance Cost.		20,000
	f. Depreciation & Amortisation		32,000
	g. other expenses.		—
	Total Expenses		12,52,000
5.	Profit before tax [3-4]		7,48,000
6.	(-) Tax		—
7.	Profit after Tax		7,48,000

Working Note.

1.	Employee Benefit Expenses.	
	a. wages	24,000
	b. Salary	16,000
		<u>40,000</u>

2. from the following particular prepare a balance sheet Vertical form for the year end 3 May 2022

Rs

Particular	₹	Particular	₹
Land & Building	80000	Cash at Bank	10000
Capital	190000	Bills Payable	9000
Plant & Machinery	120000	Sundry debtors	20000
Net Profit	20000	Bills Receivable	7000
Sundry Creditors	48000	Cash in Hand	30000

→

Preparation of Balance sheet
as per schedule III
as per Companies Act 2013

Name of co- :

B/S as on : 31/3/2023

Particular	Note No	₹	₹
I. 1. Equity & Liabilities			
i) share holders fund			
a) Share Capital			190000
b) Reserve & Surplus			20000
c) Money received against share warrants			
ii) share Application money pending Allotment			
iii) Non-current liabilities			
iv) current liabilities			
a) Trade Payable	1		57000
Total E & Liabilities	→	→	267000

II. Assets

i} Non-current Assets

a) Fixed assets.

* Tangible Assets.

2.

200,000

ii} current Assets.

a) Trade receivable

3

27,000

b} Cash & Cash equivalents.

4.

40,000

Total Assets.

→

→

267,000

Working Note :-

① Trade Payable.

Sundry creditors - 48,000

Bills Payable - 9,000

57,000.

② Tangible Assets.

L & B. - 80,000

P & M. - 1,20,000

2,00,000

③ Trade receivable.

Bills receivable - 7,000

Sundry debtors - 20,000

27,000

④ Cash & Cash Equi.

Cash at Bank - 10,000

Cash in Hand - 30,000

40,000

combined Problem.

1. following is the trail Balance of Birla Cement Co/- for the year ended 31/3/2020

Birla Cement Co/-

Trail Balance
as on 31/3/2020.

	Particular	₹	Particular	₹
P&L stock	Inventory	340000	Eg/sh capital [sh	125000
2	Furniture ^{BIS (FA)}	100000	-are of ₹ 5 each]	
4	discount ^{P&L (O.E)}	20000	11% debentures ^{BIS}	250000
	loan to directors ^{STLB BIS (O.E)}	40000	Bank loans ^{BIS}	322500
4	Advertisement ^{P&L}	10000	Trade payables ^{BIS C.L.}	140500
4	Bad debts	17500	Sales ^{P&L I.R.}	2134000
4	Commission ^{other income}	60000	Rent Received ^{P&L O.}	23000
	Purchases ^{P&L}	1159500	Transport charges ^{fees / P&L In}	5000
	Plant & Machinery ^{BIS FA}	430000	P & L ^{P&L}	69500
4	Rentals ^{P&L O.E}	12500	Dep. provision ^{dep.}	73000
	Current A/c ^{BIS cash}	22500		
	cash ^{BIS cash}	4000		
3	Int. on Bank loans ^{P&L fin cost}	58000		
4	Preliminary exps ^{P&L O.E}	5000		
	Fixtures ^{BIS FA}	150000		
	wages ^{P&L EMP P.F.C.}	450000		
4	Consumables ^{P&L oth}	42000		
	Freehold land ^{BIS F.A}	773000		
	Tools & Equipments ^{BIS FA}	122500		
	Goodwill ^{BIS In}	132500		
	Trade receivables ^{BIS C.A}	220000		
4	Dealer Aids ^{P&L EXP}	10500		
4	Transit Insurance ^{exp}	15000		
4	Trade exps ^{exp}	36000		
4	distribution freight ^{exp}	27000		

3	Debentures Interest ^{8% Finance Cost}	10,000	
	Total	4267500	4267500

Adjustments :-

- a) closing stock as on 31/3/2020 ₹ 411,500 2.

Prepare Balance sheet of Birla Cement Co-
for the year ended on 31/3/2020 as required
by Schedule III of companies Act 2013.

→ Statement of P & L A/c
For the year ending

	Particular.	Note No.	₹
I.	Incomes		
1	Revenue from operation		21,34,000
2.	Other Incomes	1.	28000
3.	Total Revenue		21,62,000
II 4.	Expenses		
a.	Cost of material consumed		—
b.	Purchase of stock in -Trade		11,59,500
c.	Change in Inventory of finished goods	2.	-71,500
d.	Employee benefit expenses		450,000
e.	Finance costs	3.	68,000
f.	Depreciation & Amortization		—
g.	Other expenses	4.	2,55,500
	Total expenses		18,61,500

5) Profit Before Tax	300,500
6) <u>less:</u> Tax.	—
7) Profit after TAX	300,500

Preparation of Balancesheet
as per Schedule III,
as per Companies Act 2013.

Particular,	Note.	₹
I. 1. Equity & Liabilities :		
i) shareholders fund		
a) share Capital.		12,50,000
b) Reserve & Surplus	5	370,000
ii) Non-Current liabilities.		
a) long-term Borrowings.	6	572,500
iii) Current liabilities.		
Trade Payable		140,500
Total Liabilities	→	23,33,000
II. 2. Assets :		
i) Non-current Assets		
A) Fixed Assets		
a) Tangible Assets	7	150,200
		150,250

b) Intangible Assets (Goodwill)

132,500

B) Current Assets.

a) Cash & Cash Equivalents

8

26,500

b) Inventory [closing stock]

411,500

c) Short-term loans & advances ^{loan to directors}

40,000

d) Trade receivables

220,000

Total Assets.

→

233,300

Working Notes :-

Note No. 1

Other Incomes.

Rent Received

23,000

Trans. charges fee

5,000

28,000

Note No. 2

Change in Inventory of finished goods

opening stock

340,000

(-) closing stock

411,500(- 71,500)

Note No. 3

Finance Cost

Int. on Bank

58,000

- loans

Debentures Int.

10,00068,000

Note No. 4

Other Expenses.

discount

20,000

Advertisement

10,000

Bad debts

17,500

Commission

60,000

Rentals

12,500

Preliminary exps.

5,000

Consumables

42,000

dealer aids

10,500

Transit Insurance

15,000

Trade exps

36,000

distribution freight

27,000

Total O. Expenses

255,500

Note No. 5.

Revenue & Surplus

P&L.	69500
Balance of P&L statement	<u>300000</u>
	370000

Note No. 6.

Long-term Borrowings

11% debentures	250000
Bank loans	<u>322500</u>
	572500

Note No. 7

Tangible Assets.

Plant & Machinery	357000
Furniture	100000
Fixtures	150000
Freehold land	773000
Tools & Equipment	<u>122500</u>
	1502500

Note No. 8.

Cash & Cash Equivalents

Current Alc	22500
Cash.	<u>4000</u>
	26500

for plant & Machinery

P & M	430000
(-) dep.	<u>73000</u>
	357000

2. The following particulars have been extracted from the books of a trader for the year ended march 31, 2019.

Particulars	₹
Sales	10,02,000
Sales Returns	2,000
Purchases	7,03,000
Purchase Returns	<u>3,000</u>

Stock of merchandise (1/4/2018)	80,000
Stock of Merchandise (31/3/2019)	60,000
Freight & duty	40,000
Carriage Inwards	20,000
Carriage outwards	25,000
wages	50,000

Prepare Trading A/c.

And Prepare P & L A/c for the year ended on March 31, 2019.

Statement of P & L A/c
as per Schedule III.

Particulars	Note	Amount
I. Incomes		
1. Revenue from operation. (10,00,000 - 2000)		10,00,000
2. Other Income.		—
3. Total Revenue	→	10,00,000
II. 4. Expenses.		
a. Cost of material consumed (10,03,000 - 2000)		20,000
b. Purchase of stock in trade		70,000
c. change in Inventory of F.G.		20,000
d. Employee Benefit expenses.		50,000
e. Finance Cost		
f. Depreciation & Amortization		
g. other expenses.		65,000
Total exps.		855,000

5. Profit Before tax

145000

6. (-) Tax

7. Profit After Tax.

145000

Trading A/c.

Particular	Amount	Amount
I. Incomes.		
Sales	1002000	
less: Sales Return	- 2000	
		1000000
R.F.O.		
add: other Income.		—
(A) Total Revenue	→	1000000
less: II. Expenses.		
a) Purchase	703000	
less: Purchase Return	3000	
	→	700000
b) change in Inventory		
[Op. stock - cl. Stock]		
80000 - 60000	→	20000
c) other Expenses		
Freight & duty	40000	
carriage Inward	20000	
carriage outward	25000	
wages	50000	

	→	135000.
(B) Total Expenses		855000.
Total (A - B)		145000

28 From the following details extracted from the books of a trader for the year ended march 31, 2019, prepare trading & P & L a/c.

Particulars	₹
Purchases	15,00,000
Opening stocks	370,000
Sales	27,00,000
Return outward	200,000
Return inward	300,000
wages	250,000
Salaries	150,000
Carriage Inward	30,000
Carriage outward	20,000
Duty & clearing charges	5000
Factory Rent	25,000
Office Rent	15,000
fuel & Power	10,000
Travelling & Conveyance	9,500
Rent, Rates & taxes	24,500
Interest received	5,400
Discount allowed	6,000
discount received	4,600
Insurance charges	5,000
Bad debts	6,500

Trade Expenses	2000
Advertisement	9000
dep. on plant	12500
dep. on furniture	3000
closing stock	550,000

→ Trading A/c.

Particular	₹	₹
I. Incomes.		
a) Sales	27,00,000	
less: Return Inward	300,000	
less: discount Allowed	6000	
Total (A)		23,94,000
II b) Factory exps. Other Incomes		
Cost of sales		
Purchase.	1500000	
(-) Purchase Return	(-) 200,000	1300000
change in inventories (Stock in trade) (370000 - 550000)		-180,000
duty & clearing charges		5000
Factory Rent		25000
Carriage inwards		30000
wages		250000
Fuel &		10000
Total (B)		14,40,000

	Total (A - B)		954000
III.	Operating exps		
	salaries	150000	
	carriage outward	20000	
	Office Rent	15000	
	Travelling & Conveyance	9500	
	Rent Rates & Taxes.	24500	
	Insurance charges.	5000	
	Bad debts.	6500	
	Trade exps	2000	
	Advertisement	9000	
	dep. on plant	12500	
	dep on furniture.	30000	
		→ (-)	257000.
			697000
add	other Incomes.		
	Int. received	5400	
	Disc. Received	4600	4) 10000
	total →		707000

- 3] From the following trail Balance of Hindustan cot ltd. Prepare p & L a/c & Balance sheet in vertical format for 31 March 2023.

	Particulars.	Dr	Cr.
	Sales		210000
	Purchases	250000	
	Share Capital		300000
1	Opening Inventory	125000	
2	Salary & wages	237000	
	Cost of raw material consumed	850000	
	10% debentures		500000
	Trade receivables	550000	
5	General Reserve		72000
4	Rent	215000	
2	Staff welfare expenses	85000	
4	Commission on sale	210000	
	Interest	55000	
4	Rates & Taxes	88000	
6	Surplus		86000
	Trade payables		192500
	Buildings	500000	
3	depreciation in building	50000	
	Bad debts	50500	
	Bank overdraft		15000
		3265500	3265500

Adjustments :

- i) closing inventory 185000 1.
- ii) create provision for taxation at 30% ^(Surplus - 9000)
- iii) transfer to general reserves 5 ₹ 15000
- iv) Directors proposed dividend of 3%.
- v) provide for o/s rent ₹ 12500 & further
- vi) provide bad debts at 5% on trade receivable. 4 ₹ 500.

→

Statement of P & L A/c. of Hindustan Co- Ltd.
for the year end

	Particular	Note	Amount.
I.	Incomes.		
1.	Revenue from operation.	1.	21,00,000
2.	other Income.	2.	—
3.	Total Revenue.		21,00,000
II.	Expenses.		
a.	Cost of material consumed.		850000
b.	Purchase of stock in Trade.		250000
c.	change in Inventory	1	(-60000)
d.	Employee Benefit exps.	2.	322000
e.	Finance cost		55000
f.	Depreciation & Amortization	3	50,000
g.	Other Expenses.	4	603500
	Total expenses	→	2070500

Profit before tax	29500
<u>Wt:</u> Tax $[29500 \times 30\%]$	8850
Profit after tax.	20650

Balance sheet
as per schedule III
as per CoI- act 2013
In the books of Hindustan Col- Ltd.

Particular.	Note No	₹
I. Equity & liabilities		
i) Shareholders fund		
a) share capital.	6	300000
b) Reserve Reserve & Surplus.	5	168120
c) Money transferred against sh. w.		
ii) Share application money pending allotment		
iii) Non-current liabilities		
a) long-term borrowing	6	50000
b) deferred tax liability		
c) other long-term liabilities		
d) long-term provisions		
iv) current liabilities		
a) short-term Borrowings (8% p.a.)		15000
b) Trade payable		
c) other current liabilities		192500
d) short-term provisions	7.	19380
v) Other current liabilities (0% Rent)		12500
Total liabilities	→	1207500

16.9957.
fixed dividend paid a/
according to Income tax
Act

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Date

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II Assets :

i) Non-current Assets.

a) Fixed Assets.

* Tangible Assets.

500,000

* Intangible Assets.

* Capital work-in-progress.

* Intangible Assets under development.

b) Non-current Investment

c) Deferred tax Assets. (Net)

d) long-term loans & advances.

e) other Non-current Assets.

ii) Current Assets.

a) current Investments.

b) Inventories

c) Trade receivables

8.

522500

d) cash & cash equivalents.

185000

e) short-term loans & advances.

f) other current Assets.

Total Assets.

→

1207500

Working Note.

Note. 1

change in Inventory

opening stock = 125000.

closing stock = $\frac{185000}{(-60000)}$

Ans:

Note. No. 2.

Employee Benefit exps.

Salary & wages 237000

Staff welfare exps $\frac{85000}{322000}$

322000

Note No. 3.

dep & Amortization.

dep on Building = 50000
50000

Note No. 4. Other exps.

Rent 215000

Com. on sales 210000

Rates & Taxes 88000

o/s Rent 12500

Bad debt. 50500

Adj:- PB debt 27500
603500.

Note No. 5.

Reserve & Surplus.

Reserve

G/R 72000

G/R (Adj) 15000

87,000

Surplus

Op. Surplus 86000

P&L Surplus 20650

less Proposed

dividend

(300000 x 3%) - 9000

~~84000~~ DDT @ 16.995%

(9000 x 16.995%) - 1530

Amt transferd - 15000
to G/R

81120

Note No. 6.

long-term Borrowing

10% debentures.

[81120 + 87000 = 168120]

Note No. 7

Short-term Provision.

Dividend 9000

DDT 1530

Provis. for tax. 8850

19380

Note No. 8.

Trade Receivable

T/R. 550000

(-) 5% B. debt. 27500

522500

Case study

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1. From the following trading co- ltd prepare F.S for the year ending 31/3/21. in the vertical format as per schedule 3.

Particular.	Dr.	Cr.
✓ Sales of Goods R.F.O.		550000
4. office Rent o.e.	50000	
1 opening Inventory chan	35000	
✓ purchase of goods .o.s.	170000	
7 Furniture Asset	185000	
Trade payable liability		85000
7 Plant & machinery A.	100000	
Equity share capital, share cap. (40000 shares of ₹ 10 each)		400000
✓ 10% debentures		100000
Int. on debentures F.C	10000	
✓ Fixed deposit Asset	70000	
2 Staff welfare exps E.B.E	12000	
5 Surplus (opening) A.R.		10000
✓ Cash in Hand & Bank C.C.E	63000	
7 Building A	90000	
4 Rates & Taxes. o.e	25000	
2 Salary o Em. B.E	55000	
✓ Goodwill A	125000	
5 G/R A.R.		5000
Trade receive	1150000	1150000
Trade receivable	160000	
1 * closing Inventory 45000		
* Create provision for taxation @ 30%		
* Transfer to G/R 55000		
* Directors proposed dividend of 10% 5		
* Provide dep. on plant & machinery @ 10% 300000 x 10%		

(100000 x 5%)

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& Building @ 5%.

Calculate DDT @ 16.995% on dividend.

→

P & L a/c.
of Tata trading co.-

Particular.	Note.	Amount
I <u>Incomes:</u>		
1. Revenue from operation		550000
2. Other Income		-
3. Total Revenue	→	550000
II <u>Expenses:</u>		
a) Cost of material Consumed		140000
b) Purchase of stock in Trade		170000
c) change in Inventory	1	(- 10000)
d) Employee Benefit exps	2.	67000
e) finance cost		10000
f) Dep & Amortization	3.	14500
g) other exps.	4.	75000
Total expenses		326500
5. Profit before tax.		223500
6. (-) Tax [223500 x 30%]		67050
7. Profit after tax		156450

Preparation of B/s
as per Schedule III
as per Companies Act 2013.

	Particulars	Note	Amount
I.	Equity & Liabilities		
	i) Shareholders fund.		
	a) Share Capital	8	400000
	b) Reserve & Surplus.	8 5	124652
	iii) Non-current liabilities.		
	a) long-term borrowing		100,000
	b) deferred tax liability		
	c) other long-term liabilities		
	d) long-term provisions		
	iv) Current liabilities.		
	a) short-term Borrowings		—
	b) Trade payable 85000		85000
	c) other current liabilities.		
	d) Short-term provisions 67050. + 40000 + 6798	6	113848
	Total liabilities		823500
II.	Assets :		
	i) Non-current Assets.		
	a) Fixed Assets		
	* Tangible Assets.	7	360500
	* Intangible Assets		125000
	* Capital work - in - progress.		
	b) Non-current Investment.		
	c) Deferred tax Assets (Net)		
	d) long-term loans & Advances.		
	e) other Non-current Assets. 70000		70000

ii) Current Assets.

a) Current Investment

b) Inventories

c) Trade Receivables ^{F.P.}
(70000 + 63000)

d) Cash & Cash Equivalents

e) short-term loans & Advances

f) other Current Assets.

Total Assets.

45000

160000

133000

823500

Notes.

Note 1. [change In Inventory]

opening Inventory	35000
closing Inventory	<u>45000</u>
	-10000

Note 2. [Employee Ben. exps]

Salary	55000
staff welfare exps	<u>12000</u>
	67000

Note 3

Dep & Amortization

dep. on plant & M	10000
[100000 x 10%]	

dep on Building	4500
[90000 x 5%]	

14500.

Note 4

Other expenses.

Office Rent	50000
-------------	-------

Rates & taxes	<u>25000</u>
---------------	--------------

75000

Note No. 5.

Reserve

G/R	5000
Tr. of G/R.	<u>5000</u>
	10000.

Note No. 6.

Surplus

Surplus opening	10000
Tr. from P&L	<u>156450</u>
	166450

W.S: Dividend

[400000 x 10%]

40000.

Wd: DDT 6798.

[40000 x 16.995%]

Wd: Tr. of G/R 5000
114652.

So $\therefore$ R + S.

$$10000 + 114652 = 124652 //$$

Note No. 6

Short-term Provisions.

Tax = 67050.

P. dividend = 40000

DDT = 6798

113848.

Note 8

Cash & Cash Equivalents

Fixed deposit = 70000

Cash & C. E = 63000

133000.

Note NO. 7.

Tangible Asset.

Plant & machinery

100000

Wd: dep (100000 x 10%).

10000

90000

~~90000~~

Building

90000

Wd: dep (90000 x 5%).

4500

85500.

Furniture.

185000

360500

$$\begin{aligned} \text{Bad debt} &= \overset{\text{old B.D.}}{3500} + \overset{\text{New B.D.}}{2500} + 8250 \\ &= 14250 - 5000 \text{ old PBDD} \\ &= 9250 \end{aligned}$$

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* From the following trail Balance prepare final accounts of Nishi trading company Ltd for the a/c period 31/3/14.

	Particulars.	Dr	Cr
P.R.D	Sales ✓		6,54,000
Re	G/R		12,000
ch	Op. Inventories ✓ 1	58,400	
T.P	Trade / Payables		25,890
P.	Purchase of goods ✓	23,20,80	
dep.	dep on Tangible Assets - 2	15,500	
T.R	Trade Receivables	85,000	
Imp	salary exps ✓	98,470	
other exp	Prov. for Bad & doubtful debts ✓		- 5,000
C.C.E	Cash & cash equivalents	35,500	
F.A	Tangible Assets	155,000	
O.E	Freight 3	48,800	
dep	Amortisation on Tangible Assets ✓	18,500	
O.E	Sundry exps. 3	42,860	
Cap	Share Capital (Eq. sh of ₹ 100 each)		2,50,000
P&L	P & A/c		7,000
O.E	Preliminary exps 3	20,000	
O.E	Power fuel 3	54,200	
O.E	Bad debts 3	3,500	
F.A	Intangible Assets	86,000	
	Total	953,890	953,890

Adjustments:

- closing Inventories 28,800 ch¹ Inventory
- create Provision for taxation at 30%.
- write off 1/5th of preliminary expenses 1/5 Prel¹ 4/5 B/s

$$\begin{array}{r}
 85000 \\
 - 2500 \\
 \hline
 82500
 \end{array}
 \xrightarrow{10\%}
 \begin{array}{r}
 \text{Debtors} \\
 2500 \\
 \hline
 8250 \text{ PBDT}
 \end{array}
 \xrightarrow{10\%}
 74250 \text{ T/R}$$

- Directors Proposed dividend of 15%.
- write off ₹ 2500 as Bad debts & maintain Prov. Bad & doubtful debt @ 10% on debtors.
(-) debtor 10% d

→ Statement of Profit & Loss a/c.
of Nishi trading col-.

	Particular	Note.	Amount
I.	<u>Incomes</u>		
1.	Revenue from operation.		654000
2.	other Incomes.		-
3.	Total Revenue.		654000
II.	<u>Expenses.</u>		
a.	Cost of material Consumed		-
b.	Purchase of stocks in trade		232080
c.	Change In Inventory	1	29600
d.	Employee Benefit exps		98470
e.	Finance cost		-
f.	dep & Amo.	2	34000
g.	other expenses. $9250 + 48800 + 42860$ $4000 \text{ Pre exp} + 54200$		159110
4.	Total expenses		553260
5.	Profit Before tax.		100740
6.	<u>less:</u> Tax @ 30%.		30222
7.	Profit after tax.		70518

37500
30222
67722

Surp
70518
7000
77518
37500
40018

PDD

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Balance sheet

Particular	Note	₹
I. Equity & Liabilities.		
1. Share holders fund		
a. Share Capital.		250000
b. Reserve & Surplus. $12000 + 40018$		52018
3. Non-current liabilities		
b.		
4. Current liabilities.		
Trade Payable		25890
Other Current liabilities		
Short-term Provisions.		67722
Total liabilities.		395630
II Assets.		
i) Non-current Assets		
a) Fixed Assets-		
Tangible Assets		155000
Intangible Assets		86000
e) Other Non-current Assets		16000
ii) Current Assets.		
b) Inventories		28800
c) Trade Receivables		74250
d) Cash & Cash Equivalents		35500

Total Assets.

	\$50
	395,630
	395,550

Notes :-

* From the following trial Balance of Acharya Trading Co- Ltd as at 31/3/2014 prepare financial statements in prescribed form.

	Particulars	Dr.	Cr.
CSI P&L	Inventories ✓	25000	
P P&L	Purchase & Sales	225000	300000
E P&L	Employee Benefit expenses	15800	
B/S	A/c Receivables & A/c Payables	27200	15000
SC B/S	Share Capital. ✓		150000
G/R	General Reserve. ✓		15000
B/S F.A	Computer ✓	50000	
F A B/S	furniture & fitting ✓	235000	
O/E P/L	Office expenses 3-	20000	
B/S	Preliminary exps 2-	10000	
R/S B/S	Surplus A/c [1/4/13] ✓		10000
R/S B/S	Securities premium		5000
Inv B/S	Investments ✓	50000	

Dr. E B/s	direct exps.	3. (Not entered)	12000
Cr. E B/s	cash at Bank		25000
			495000 495000

Adjustments. :-

- make provision for tax ₹6500- P&L/B/s
- closing Inventories (31/3/14) valued at ₹40000 P&L B/s
- Proposed dividend for the year is 5%. $150000 \times 5\%$
- Transfer of ₹2000⁽⁺⁾ to General Reserve.
- depreciate furniture & fittings by 5%. ^{dep} 2

Statement of P & L Col-

OF Acharya trading Col- Ltd.

	Particulars	Note.	Amount.
I.	Incomes.		
1	Revenue from operation.		300,000
2	Other Incomes		-
3	Total Incomes		300000
II	Expenses.		
a.	Cost of material Consumed.		-
b.	Purchase of stock in trade		225000
c.	change in Inventory	1	(-150000)
d.	Employee Benefit expenses.		15800
e.	finance cost		-
f.	depreciation & Amortization.	2	1750.
g.	other Expenses.	3	30000
8.	Total expenses.		259550.

4// G/R op = 15000 Surplus 10000
 (+) Transferred = 2000 (+) S/P 33950
 17000 43950
 (-) div 7500 -
 36450

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15000

5.	Profit Before tax.		40450
6.	less: Tax.		6500
7.	Profit after tax.		33950

Balance sheet.

I. Equity & Liabilities.

i.e. shareholders fund.

a.e. share Capital.

b.e. Reserve & Surplus.

Trade Payable

short-term Provisions 6500 + 7500

Total liabilities.

II. Assets.

a) Fixed Asset

* Tangible Assets.

Other Non-current Assets.

* Non-current Investment

* Inventories

* Cash & Cash Equivalents

* Trade Receivables

also - current Assets

Total Assets

15000

150000

56450

15000

14000

235450

83250

10000

50000

40000

25000

27200

235450

$$\text{com} = 50000 + 33250 = 83250$$

$$35000 - 1750 =$$

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Notes No. 1.

[Change In Inventory]
opening Inventory - 25000
(-) closing Inventory - 40000
= 15000

Notes No. 2

[Dep & Amortization]
dep on Furniture & fittings.
 $35000 \times 5\% = 1750 //$

Note No 3.

[Other expenses]
Office expenses - 20000
direct expenses - 12000
32000

Note No. 4.

[Reserve & Surplus]		Surplus	
Revenue: old G/R	15000.	op balance	10000
sp. Transfer to G/R	<u>2000</u>	(+) P & L Surplus.	<u>33950</u>
	17000.		43950
Securities premium	<u>5000</u>	(-) Tr to G/R	2000
	22000	(-) Pro. dividend	7500
	↓	(150000 × 5%).	
	+		<u>34450.</u>

R & S [22000 + 34450 = 56450]

Note No. 5.

[Short-term Provisions]
Provision for tax 6500
Proposed dividend 7500
14000

Note No. 6.

[Tangible Assets]
computer 50000
Furniture & fittings
[35000 - 1750] 33250

83250

Problems on Trend Percentage :-

1. From the following data relating to ABC Co. for the Year 2019 to 2022, Calculate the trend % (taking 2019 as base Year).

Particular	2019	2020	2021	2022
Net Sales	200000	190000	240000	260000
less : Cost of Goods sold	120000	117800	139200	145600
Gross Profit	80000	72200	100800	114400
less : Expenses	20000	19400	22000	24000
Net Profit	60000	52800	78800	90400

→

Particular	2019	2020	2021	2022
Net Sales	100%	95%	120%	130%
less : Cost of Goods sold	100%	98%	116%	121%
Gross Profit	100%	90%	126%	143%
less : expenses	100%	97%	110%	120%
Net Profit	100%	88%	131%	151%

→

Particular	2019	%	2020	%	2021	%	2022	%
Net sales	200000	100%	190000	95%	240000	120%	260000	130%
(-) Cost of G.S	120000	100%	117800	98.17%	139200	116%	145600	121%
Gross profit	80000	100%	72200	90.25%	100800	126%	114400	143%
(-) expenses	20000	100%	19400	97%	22000	110%	24000	120%
Net Profit	60000	100%	52800	88%	78800	131%	90400	151%

Interpretation :-

- a) ∴ 2020 was bad for the compare to 2019
 b) In 2020 sales decreased by 5%
 c) Cost of Goods sold ^{& expenses} also decreased but only by 1.84 & 3%

- d) which means cost did not reduced much because sales fall more than cost net profit decreased by 12% in 2020 the situation improved by 2021 & 2022.

definition:-

Trend Analysis :-

Trend Analysis means financial data several years are analysed to identify the direction (Increasing / decrease Profit of position)

$$\text{Trend index Percentage} = \frac{\text{Current Year}}{\text{Base Year}} \times 100.$$

- e) Sales started increasing again & business recovered its position.
- f) Net profit increased by 131.33 % in 2021 & 150.67 % in 2022.
- g) This shows that profit grows faster than sales which is a good sign for the business.

Conclusion :

after poor performance in 2020, it recovered well in 2021 & 2022 with strong improvement in profit.

27. From the following data, relating to PQR Ltd for the year ended 31/3/2020, calculate the trend Percentage, (Base Year 2016)

Particular.	2016-17	2017-18	2018-19	2019-20.
Cash.	100	120	80	140
debtors.	200	250	325	400
stock	300	400	350	500
Other Current Asset	50	75	125	150
Land	400	500	500	500

→

Particular	2016	%	2017	%	2018	%	2019	%
II Assets.	-		-		-		-	
ii Current Asset	-		-		-		-	
a) Current Investment	-		-		-		-	
b) Inventories	300	100	400	133.33	350	116.66	500	166.66
c) Trade receivables	200	100	250	125	325	162.5	400	200
d) Cash & C. Equivalents	100	100	120	120	80	80	140	140
e) short-term L & A	-		-		-		-	
f) Other Current Asset	50	100	75	150	125	250	150	300
if Fixed Assets	400	100	500	125	500	125	500	125
Total Assets.	1050	100	1345	128	1380	131.42	1690	160.95

*. Comparative financial statement :-

which means balance sheet of two / more years are compared to study & get changes in figures.

$$\% \text{ change} = \frac{\text{Absolute change}}{\text{Base Year}} \times 100.$$

$$\text{Absolute change (Rs)} = \text{Current Year} - \text{Base Year}.$$

Problem :

1. From the following information prepare Comparative Income statements.

Particular	31/3/2013	31/3/2014.
Sales	1000000	800000
Cost of Goods Sold	600000	400000
Adm, selling & distri. expenses	200000	140000
Other Incomes	40000	20000
Income tax	120000	140000

→

Particular	31/3/13.	31/3/14	Absolute change.	% change.
I. <u>Incomes</u>				$\frac{200000}{1000000} \times 100$
1. Revenue from operation	1000000	800000	- 200000 800000 - 1000000	20. %
2. other Incomes.	40000	20000	- 20000	50. %
Total Incomes	1040000	820000	- 220000	(21.53%)

II

Expenses.

Cost of Goods Sold	600000	400000	-200000	33.33 %
Adm, Sel & dist. exps.	200000	140000	-60000	30 %
Total expenses.	800000	540000	-260000	32.05 %
Profit Before tax	240000	280000	40000	16.07 %
wn % Tax	120000	140000	20000	16.07 %
Profit After tax.	120000	140000	20000	16.67 %

Working Note :-

2) From the following particulars prepare a comparative Balance sheet of Sai Corp.

Particular	31/3/2020	31/03/2019
Share Capital	16,50,000	16,00,000
Fixed Assets.	20,00,000	17,50,000
6% Government Bonds	300,000	300,000
Long-term Borrowing	800,000	700,000
Reserve & Surplus	100,000	250,000
Short-term Investment	200,000	250,000
Stock	300,000	400,000
Creditors	300,000	250,000
Cash.	50,000	100,000

Comparative Balance sheet.

Particular	31/3/19 B.Y	31/3/20 C.Y	Absolute change	% Change $\frac{A}{B} \times 100$
I. Equity & Liabilities.				
1. Shareholders fund				
a. Share Capital.	1600,000	1650,000	50,000	3.13 %
b. Reserve & Surplus	250,000	100,000	-150,000	-60 %
2. Non-current liabilities				
a. Long-term borrowing	700,000	800,000	100,000	14.28 %
3. Current liabilities				
creditors	250,000	300,000	50,000	20 %
Total liabilities	2800,000	2850,000	50,000	1.78 %
II. Assets.				
1. Non-current Assets				
a) Fixed Assets	17,50,000	20,00,000	250,000	14.28 %
b) Non-current Investment	300,000	300,000	0	0 %

2. Current Assets

a. Stocks	400000	300000	-100000	-25%
b. Short-term Investment	250000	200000	-50000	-20%
c. Cash	100000	50000	-50000	-50%
Total Assets	2800000	2850000	50000	1.78%

Working Note:

Ratio Analysis :-

Problems :-

1. The balancesheet of Asian Ltd. as at 31/3/2020 is as under.

Liabilities	₹	Assets	₹
Share Capital	190000	Trade Inv. [Long-term]	200000
Reserve	150000	stocks	100000
15% debentures	50000	debtors	45000
Trade creditors	30000	Marketable Securities	40000
Bills Payable	40000	Cash	60000
O/S expenses	15000	Bills Receivables	55000
Bank O/D	20000	Prepaid exps	10000
Prov. for tax	<u>25000</u>	preliminary exps	<u>10000</u>
	<u>5,20,000</u>		<u>5,20,000</u>

→ calculate the current ratio.